

THE NAVIGATOR

Pradeep Gaur, CMD of RVNL, believes that every adversity brings opportunity. He has steered the railway PSU into more sectors and geographies as it charts out a new course

By **Surabhi**

► **AS ONE OF** the oldest-serving employees of Rail Vikas Nigam Ltd (RVNL), Pradeep Gaur, its current Chairman and Managing Director, has seen the rail PSU come into its own.

RVNL was incorporated in 2003 with the twin objectives of implementing projects related to creating and augmenting the capacity of rail infrastructure on a fast-track basis and raising extra budgetary resources for SPV (special purpose vehicle) projects. It began operations in 2005, and Gaur, a 1987 batch IRSE (Indian Railway Service of Engineers) officer, joined RVNL soon after.

Over the past 19 years, he has seen the company grow and has also played a significant role in its transformation in recent times after he became its chief in 2018. He

also oversaw the company's listing in 2019, when the government sold 12.12% stake.

"I'm one of the longest-serving people in this organisation. I joined it from Indian Railways on deputation in 2005 and was later absorbed [into it]. So, I have been here almost since its inception," Gaur tells *BT*. Based on this long association, he confidently states that RVNL has evolved into a very capable project executing organisation with very high technical capabilities. "It has developed a lot of resiliency and can spring back from any pushback," says Gaur.

But it hasn't been easy going. When Gaur took charge as CMD about five and a half years ago, RVNL faced a number of challenges. Project execution was slow, and a large number of projects were languishing. So, Gaur's first task was to bring these to order and get them commissioned.

Then the Covid-19 pandemic struck, and RVNL's focus shifted to saving the lives of the workers at its various project sites and ensuring they got adequate support. But by far the biggest challenge it had to navigate was the decision of the Ministry of Railways to move from execution of projects on a nomination basis to competitive bidding, which meant that RVNL no longer had the advantage of getting projects straight off from the Railways. That being the case, it had to also foray into non-railway projects.

"At that time, it was a huge challenge to foray into a different business altogether that we were not used to and had to take projects on bidding. I will give full credit to the resilience of the organisation for being able to rise to the occasion because it was an extremely difficult proposition. RVNL consists 100% of officers and staff from the Railways, and they were not used to this," recalls Gaur.

The company took this up as a challenge, and Gaur believes that the change in orientation has opened up a whole new vista of opportunities in various sectors.

Over the past few years, RVNL has diversified into

PSU

PRADEEP GAUR

CHAIRMAN AND MANAGING DIRECTOR, RVNL

Revenue from operations	FY23	20,281.6
	9MFY24	15,175.2
Profit before tax	FY23	1,719.3
	9MFY24	1,429
Profit after tax	FY23	1,341.8
	9MFY24	1,096.1
	FY23 RoE (%)	20.81
	Market Cap	55,200.9

● Data is on a consolidated basis; all figures in ₹ crore except RoE; 9MFY24: April-December 2023

● M-cap as of February 23, 2024

● **Source** BSE, ACE Equity